

Getting the Facts

Although there are various drawbacks to being a fund manager, there's the advantage that companies will talk to us—several times a week if we'd like. It's amazing how popular you feel when enough people want you to buy a million shares of their stock. I get to travel from coast to coast, visiting one opportunity after another. Chairmen, presidents, vice presidents, and analysts fill me in on capital spending, expansion plans, cost-cutting programs, and anything else that's relevant to future results. Fellow portfolio managers pass along what they've heard. And if I can't visit the company, the company will come to me.

On the other hand, I can't imagine anything that's useful to know that the amateur investor can't find out. All the pertinent facts are just waiting to be picked up. It didn't use to be that way, but it is now. These days, companies are required to tell nearly all in their prospectuses, their quarterlies, and their annual reports. Industry trade associations report on the general industry outlook in their publications. (Companies are also happy to send you the company newsletter. Sometimes you can find useful information in these chatty highlights.)

Rumors, I know, are still more exciting than public information, which is why a snippet of conversation overheard in a restaurant—"Goodyear is on the move"—carries more weight than Goodyear's own literature. It's the old oracle rule at work: the more mysterious the source, the more persuasive the advice. Investors continually put their ears to the walls when it's the handwriting that tells everything. Perhaps if they stamped the annual and quarterly reports "classified" or mailed them out in plain brown wrappers, more recipients would browse through them.

What you can't get from the annual report you can get by asking your broker, by calling the company, by visiting the company, or by doing some grassroots research, also known as kicking the tires.

GETTING THE MOST OUT OF A BROKER

If you buy and sell stocks through a full-service brokerage firm instead of a discount house, you're probably paying an extra 30 cents a share in commissions.